

Lgp Infrastructure Llp vs Yfc Project Pvt. Ltd on 27 January, 2025

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In the Court of Dig Vinay Singh, District Judge (Commercial Court)-03,
West, Tis Hazari Courts Extension Block, Delhi

CNR No. DLWT
CS (COMM)

LGP INFRASTRUCTURE LLP,
Through its Directors
Sh. Sushant Ghosh
S/o Sh. Nimai Ghosh,
At 104, First Floor, Sagar Plaza,
Laxmi Nagar, Delhi-110092

Versus
YFC PROJECT PVT. LTD.
Through its AR/ Director
Shop no.13, C-72, Ground Floor,
Khasra no.583, North Avenue Road,
Shankar Market, Shivaji Park,
West Punjabi Bagh, Delhi-110026.
Also at:-
Project Manager,
Delhi Metro Rail Project,
DC-04, Saket, New Delhi.

Date of
Date of
Date of

JUDGMENT

1. This is a 'commercial suit' for recovery of 18,65,370/- (Eighteen Lakh Sixty-Five Thousand Three Hundred Seventy) along with pendent lite and future interest @ 24% per annum.

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2. The dispute between the parties is a 'commercial dispute' within the definition of Section 2 (1) (c) (vi) of the Commercial Courts Act, 2015, being a dispute arising out of construction and infrastructure contracts. Pre- institution mediation between the parties remained unsuccessful vide a Non- Starter Report dated 06.05.2023, issued by the concerned District Legal Services Authority.

3. The plaintiff's case is, that under Work Order No. WO/DCo4-1000077 dated 13.07.2020 placed by the defendant upon the plaintiff, the plaintiff provided 'Labour Hutments and Cast' at the site of the defendant qua Delhi Metro Rail Project, DC-04, Saket, New Delhi. The plaintiff is a Limited Liability Partnership Firm (LLP), in the said business of providing hutments and cast. It is the case of the plaintiff that as per the work order and after providing the said services following 4 invoices were raised between 09.07.2020 to 05.07.2021 upon the defendant for a total sum of 26,41,075/-

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Invoice No.	Dated
32	09.07.2020
35	29.08.2020
40	12.10.2020
LGP/2021-22/6	05.07.2021
	Total
	Rounded up

3.1. It is also the case of the plaintiff that besides the said amount of 26,41,075/-, the defendant was also liable to pay the room rent of 74,250/- and security deposit of 2,18,967/-, which makes the total outstanding amount as 28,34,292/-. It is claimed that out of that amount, the defendant made part Judgment dated 27.01.2025; CNR No. DLWT01-006004-2023; CS (COMM) No.547/2023; LGP Infrastructure LLP Vs. YFC Project Pvt.

payment of 16,82,329/- leaving a balance of 11,51,463/-. On this balance amount, the plaintiff has added interest of 7,13,907/- @ 24% per annum, making the suit amount. It is also the case of the plaintiff that when the defendant failed to pay the amount, initially a communication dated 21.11.2022 and subsequently legal notice dated 04.02.2023 were sent to the defendant, but the defendant did not make payment and therefore the suit.

4. The sole defendant company contested the suit claiming that the suit is based on manipulated tax invoices that were neither signed or received by the defendant nor the same are supported with proof of payment to the end labourers. The placement of the work order by the defendant upon the plaintiff is not denied. It is however specifically denied that the plaintiff provided labour hutments and cast as per the work order.

5. In Replication, the plaintiff reiterated the averments of the plaint while denying the averments of the WS.

6. From the pleadings of the parties following issues were framed:-

"1. Whether the tax invoices relied upon by the plaintiff are manipulated documents?
OP Defendant

2. Whether the plaintiff is entitled to recovery of a sum of Rs. 18,65,370/-? OP Plaintiff

3. If the answer to issue no.2 is affirmative, whether the plaintiff is entitled to any interest, if yes, at what rate and for which period? OP Plaintiff.

4. Relief"

7. To achieve expeditious disposal of the matter, a Court Commissioner was appointed for the recording of evidence from both sides and before the Ld. Court Commissioner the plaintiff examined two witnesses, whereas the defendant examined one witness.

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8. PW1 Sushant Ghosh tendered his evidence by way of affidavit Ext. PW1/A. The deposition of PW1 is in line with the averments contained in the plaint and replication. In his evidence, the plaintiff witness exhibited Non-Starter Report Ext. PW1/1; Authorization Letter Ext. PW1/2; Work Order Ext. PW1/3; Tax invoices collectively exhibited as Ext. PW1/4; Form GSTR-3B Ext. PW1/5; e-mails collectively exhibited as Ext. PW1/6; letter sent to the defendant claiming the invoice amount Ext. PW1/7; legal notice Ext. PW1/8; postal receipt Ext. PW1/9; Registration Certificate Ext. PW1/10; Form no.16 Ext. PW1/11; Aadhar Card Ext. PW1/12; PAN card Ext. PW1/13; Certificate under Section 65B of the Evidence Act Ext. PW1/14 and the statement of truth is Ext. PW1/15.

8.1. PW2 Deepak Ghosh also tendered his evidence by way of affidavit Ext.

PW2/A, who relied upon the documents already exhibited by PW1 i.e. Ext. PW1/3 to Ext. PW1/7. This witness deposed that he is an Accountant in the plaintiff and manages the entire accounting of the plaintiff company. It is deposed that after completion of the work as per the work order Ext. PW1/3 the entire details of the work done along with the description, and bills qua the work done were issued by him in consultation with the Director of the plaintiff, which are Ext. PW1/4, and thereafter GST returns were filed which is Ext. PW1/5. He also deposed that various e-mails were sent to the defendant which are Ext. PW1/6, and thereafter demand letter Ext. PW1/7 was also issued.

9. On the other hand, the defendant examined Rahul Kumar as DW1. He too tendered his evidence by way of affidavit Ext. DW1/A, while reiterating the averments of the WS. DW1 relied upon only one document i.e. the Board Resolution in his favour Ext. DW1/1.

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10. I have heard Ld. Counsels for the plaintiff and defendant. Their submissions are being discussed hereinafter at the appropriate stage, to avoid repetition.

11. Issue-wise findings are as follows:

12. Issues no. 1 & 2 "1. Whether the tax invoices relied upon by the plaintiff are manipulated documents? OP Defendant

2. Whether the plaintiff is entitled to recovery of a sum of Rs. 18,65,370/-? OP Plaintiff"

12.1. A bare perusal of the work order Ext. PW1/3 reveals that civil work on a certain labour rate was agreed to be provided by the plaintiff. The description of the work required to be done and other details including the rates and amount are mentioned in this work order which is for 9,45,720/- as the total amount. It is mentioned in the work order that the rate prescribed in the work order would be applicable throughout the period of the project till completion. One of the clauses of this work order also specifies that the contractor will submit a monthly bill by the end of every month along with proof of payment to end labourers and the same shall be paid within 30 days of certification from the site. The bill was to be raised in the name of the defendant.

12.2. The defendant took up a specific defence that though the above-mentioned work order was issued by the defendant, the plaintiff did not perform the work in question. Despite such a specific defence taken by the defendant, the plaintiff did not prove that any such work was performed, besides exhibiting the 4 invoices and a few emails.

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12.3. As per the plaintiff's own case, three out of the four invoices are not even counter-signed from the side of the defendant. The plaintiff claims that only one invoice is countersigned from the side of the defendant. The plaintiff did not even attempt to prove who signed the said invoice dated 05.07.2021 from the side of the defendant.

12.4. No other documentary proof is proven to show that the plaintiff performed the work under the work order in question. A perusal of the 4 invoices and the running bills forming part of Ext. PW1/4 creates suspicion about the claim of the plaintiff for the following reasons.

12.5. The first invoice is dated 09.07.2020. On this invoice no. 32 there is no counter signature or receipt from the side of the defendant. It records that it pertains to the period "upto May 2020". The First Running Bill forming part of this invoice is dated 06.06.2020 for the period 'up to May 2020' and it was submitted on 08.06.2020 as on page no.20 of the paper book. The work order Ext. PW1/3 is dated 13.07.2020. If the work order itself was issued on 13.07.2020, under what circumstances work was

performed in May 2020 is nowhere even pleaded. If it is the case of the plaintiff that the plaintiff performed work for the defendant even before the work order in question, there should have been a specific pleading to that effect. But neither there is pleading to that effect, nor there is any deposition. The invoice dated 09.07.2020 bearing invoice no. 32 mentions a work order no. WO/DCo4- 10000. No such work order has been proved or placed on record or even pleaded.

12.6. The next invoice no. 35 is dated 29.08.2020, which finds the work order in question mentioned on it, and it records that this invoice is for the period 'up to Judgment dated 27.01.2025; CNR No. DLWTo1-006004-2023; CS (COMM) No.547/2023; LGP Infrastructure LLP Vs. YFC Project Pvt.

to July 2020'. On this invoice no. 35 also there is no counter signature or receipt from the side of the defendant. Even this invoice does not specify whether it is from 13.07.2020 till the end of July or even for some period before 13.07.2020. The Second Running Bill forming part of this invoice records that it is for the period 'up to June 2020' and this running bill was submitted on 23.07.2020. In this second RA bill, the amount of invoice no. 35 is included as it reflects 4,50,030/-, in the last but two columns before remarks. This amount matches with invoice no.35. But then this RA bill states that it is for the period 'up to June 2020', i.e. before the work order in question.

12.7. Similarly, there is no counter signature or receiving from the side of the defendant on 3rd invoice no. 40 dated 14.10.2020, which mentions the period of work as July 2020 to September 2020. If the bill regarding work performed in July 2020 was already included in the second invoice no.35, what made the plaintiff include the bill for the period July 2020 again in this 3rd invoice no. 40, is not even clarified.

12.8. The 4th invoice no. LGP/2021-22/6 dated 05.07.2021 is claimed to have been received by someone from the side of the defendant. However, throughout the trial, the plaintiff never made any effort to prove who had counter-signed this invoice. It is particularly important since the defendant not only denied the work performed but also denied all the invoices by calling them manipulated. Defendant never admitted countersignature even on this invoice.

12.9. Besides the four invoices, the plaintiff also exhibited two GSTR-3B Forms for the period September 2020 and July 2021, as Ext. PW1/5. But even these Judgment dated 27.01.2025; CNR No. DLWTo1-006004-2023; CS (COMM) No.547/2023; LGP Infrastructure LLP Vs. YFC Project Pvt.

documents by themselves would be insufficient to create any liability against the defendant. Its simple reason is that the GSTR-3B return is filed by a tax- paying business entity under the GST Rules towards outward taxable supplies, including

services provided. It is based on self-declaration made by the assessee. It can't be taken as an acknowledgment by the defendant. Therefore, these GSTR forms/ returns by themselves do not create any acknowledgment of or liability against the defendant.

12.10. Besides the above-mentioned documents the plaintiff also exhibited some e-

mails as Ext. PW1/6. But even those e-mails, at the most, can be taken to be communications sent by the plaintiff to the defendant and do not create any acknowledgment by the defendant. Rather the contents of those e-mails/ attachments with those e-mails again create doubt since the balance amount mentioned therein varies and does not align with the suit amount. In the suit, the balance claimed by the plaintiff is 11,51,463/-. In the attachment to the e-mail dated 20.03.2021, the balance is claimed to be 10,07,805/-. In another e-mail dated 07.10.2022, the said outstanding amount is mentioned as 10,77,213/-. In another e-mail dated 07.12.2021, the amount mentioned is 10,58,257/-. In the so-called ledger forming part of the e-mail dated 07.12.2021 as an attachment, the balance reflected is 9,39,290/- in printed form, and only the handwritten balance matches with the balance contained in the e-mail. Thereafter in the two notices Ext. PW1/7 & 8 sent on 21.11.2022 and 04.02.2023, the suit amount is claimed to be balance. 12.11. This difference of amount on the above-mentioned documents relied upon by the plaintiff assumes importance since the plaintiff failed to prove its ledger account in the present suit.

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12.12. The defendant argued that even the ledger is not proved by the plaintiff. In answer to the argument of the defendant that the ledger has not been proved by the plaintiff, it is argued by the counsel for the plaintiff that the ledger account has been proved as on page no.40 since it is a printout of attachment file which was sent to the defendant through the e-mail dated 07.12.2021. 12.13. The said document cannot be called a ledger and is not proved for the following reasons.

12.14. A ledger account has to contain debit as well as credit entries. Only a photocopy or a printout of the attachment file has been filed on record calling it to be a ledger sent to the defendant through email. This document does not contain details of the payments received, date-wise, from the defendant, if any. It contains only 4 entries in the printed tabulated form, which are details of the 4 invoices, and towards the bottom of this table, there is a stamp affixed that mentions the total bill amount, the total payment received, other deductions and thereafter the balance amount of 9,39,290/- is shown. It is the plaintiff's own case that some part payments were received from the defendant. Those payments are not reflected in this document against the dates on which they were received. This document therefore does not appear to be an account maintained by the plaintiff in the regular course of business

as required under Section 34 of the Indian Evidence Act.

12.15. The entries in the books of account, including those maintained in an electronic form, regularly kept in the course of business, are relevant whenever they refer to a matter into which the Court has to inquire, but such statements shall not alone be sufficient evidence to charge any person with liability. The document on page 40 cannot be called a book of account Judgment dated 27.01.2025; CNR No. DLWTo1-006004-2023; CS (COMM) No.547/2023; LGP Infrastructure LLP Vs. YFC Project Pvt.

regularly kept in the course of business. Since this suit was instituted before the coming into force of the BSA, therefore Section 34 of the Indian Evidence Act is discussed above. Section 28 of The Bharatiya Sakshya Adhiniyam, 2023, is *pari materia*.

12.16. This ledger account as on page no.40 is not supported with a proper Certificate under Section 63 of BSA or 65B of the Indian Evidence Act. The Certificate filed under Section 65B of the Evidence Act Ext. PW1/14 does not meet the necessary ingredients of Sub Sections 2 & 4 of that provision. All that this Certificate reads is that PW1 certifies that the electronic records filed along with the plaint, including the ledger/ invoices/ work order/ description of work/ and other computer-generated documents, are true and correct data and that the data has been retrieved by PW1 from his computer apparatus and there was no obstruction or interference of any nature in the said computer apparatus which was in exclusive control and possession of PW1.

12.17. As against it, PW2, the accountant Deepak Ghosh, deposed in his cross-

examination that no one except him operates the computer in which the invoices were generated and ledgers are maintained. But then Ext. PW1/14 is not issued by PW2 Deepak Ghosh and it is issued and signed by PW1 Sushant Ghosh.

12.18. In the absence of necessary and mandatory particulars, as required under Sub Sections 2 & 4 of Section 65B, this Certificate cannot be taken as sufficient in support of the electronic evidence relied by the plaintiff. 12.19. Admittedly, there is no written acknowledgment either through e-mail or otherwise from the defendant acknowledging the liability.

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12.20. During cross-examination of DW1 the plaintiff furnished two documents, which were never relied on by the plaintiff with the plaint or with the replication. Those two documents are marked as Mark A & B, respectively, by the Ld. Court

Commissioner. At the time of putting those documents, the defendant objected to putting those two documents to the witness of the defendant. In terms of Order 11 Rule 1(1)(c)(i) of CPC though these two documents could have been validly put to the witness of the defendant even without they being filed on record earlier, but once the defendant's witness did not admit these two documents, they were rightly not exhibited and therefore even these two documents cannot be claimed to be proved. These two documents are the Annual Tax Statement of the plaintiff for the financial years 2020-21 and 2021-22. They do reflect payment of some amount by the defendant to the plaintiff and deduction of tax also, but these two documents having not been proved in accordance with the law, they will have to be ignored by this Court. As mentioned above, neither these documents were relied on by the plaintiff nor the plaintiff took any steps to prove these documents even after their denial by the defendant.

12.21. As is evident from the above discussion, the plaintiff had to perform work at the site of DMRC and therefore records must have been maintained by the plaintiff at the site or otherwise regarding the labours deployed and other civil work performed. There must have been some countercheck measures by the Project Manager, Engineers/ Representatives of the defendant or DMRC, or any other main contractor qua the civil work performed at the site. Not even one document is relied upon or proved by the plaintiff. Once the defendant denied the performance of work by the plaintiff, the plaintiff Judgment dated 27.01.2025; CNR No. DLWT01-006004-2023; CS (COMM) No.547/2023; LGP Infrastructure LLP Vs. YFC Project Pvt.

could have furnished those documents at least along with the Replication in answer to the defence setup. The plaintiff did not do it. The plaintiff did not even think it appropriate to examine any of those witnesses who could have proved the performance of work for the defendant by the plaintiff. 12.22. The work order Ext. PW1/3 specifies a total amount of 9,46,720/- whereas the work claimed to have been performed by the plaintiff runs into several times more than that amount.

12.23. The invoices also include room rent charges and idle payments during the lockdown period, but then there is no such clause for those payments in the work order in question.

12.24. For the foregoing reasons, this Court is constrained to hold that the plaintiff has failed to prove the fact of performance of work and providing services despite there being a specific defence of the defendant that work was not performed.

12.25. Though, for the reasons discussed above, certain arguments raised by the defendant are rendered academic only, but let them also be discussed and decided. The defendant argued that the plaintiff is a Limited Liability Partnership Firm and PW1 was a partner but he described himself as a Director of the plaintiff in the pleadings and otherwise. This argument has no consequence since a lot many

companies get registered as Limited Liability Partnerships and upon incorporation, they call their partners/ designated partners as Directors, but that wouldn't make any difference since admittedly PW1 is a partner whose name figures in the Incorporation Certificate issued by the concerned Registrar, as is apparent from Ext. PW1/10.

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12.26. Counsel for the defendant also argued that admittedly the plaintiff did not comply with one of the conditions of the work order, i.e. the bills regarding payment made to end labourers were not supplied with the so-called invoices. Had the plaintiff been able to prove the performance of work and services, and the delivery of invoices upon the defendant, merely in the absence of supply of proof of payments made to the labourers, the invoices could not have been disbelieved in the absence of any complaint received to the defendant regarding non-payment to the end labourers. But in the absence of discharge of the initial burden of the plaintiff regarding the work performed, this argument loses significance.

12.27. Though it is also argued that there was no agreement as to the rate of interest between the parties, but even that becomes insignificant in the absence of discharge of initial burden by the plaintiff. Suffice it to note that the invoices do contain a clause of charging an 18% rate of interest in the eventuality of default.

12.28. Qua the notices, it is claimed that no tracking report of delivery of notice is proved. But then admittedly the notice Ext. PW1/8 bears the correct address of the defendant and it was dispatched through speed post AD at both the addresses. There would have been a presumption of service of those notices, but then in the present matter even if it is presumed that the notice was duly served and that the e-mails were also served upon the defendant, that cannot be a reason to presume liability of the defendant. At the most it would have given rise to the drawing of an adverse inference against the defendant, had the plaintiff proved the performance of work.

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12.29. Counsel for the plaintiff argued that the defendant did not reply to the two notices and did not come forward to attend Pre-Institution Mediation and therefore adverse inference ought to be drawn. Had the plaintiff discharged its burden by proving the performance of work it could have been argued by the plaintiff that such an inference be drawn but not in the facts and circumstances of this case.

12.30. It is also pointed out by the defendant that various e-mails sent by the plaintiff bounced back and did not deliver. In this regard attention of the Court is drawn to the answer given by PW1 that except delivery of mail on one e-mail ID, the rest

e-mails bounced.

12.31. Even in the cross-examination, DW1 stuck to the stand that the plaintiff did not carry out any work on the site. He also answered that no complaint was raised by the labour regarding non-payment of labour charges by the plaintiff, but he also was categorical that no labour was deployed at the site. Merely because DW1 could not answer as to how much payment was made by the defendant to the plaintiff and that he had no personal knowledge of the payment made, there cannot be any presumption of fact that the payments were made by the defendant or that partial payment was only made. It should have been proved by the plaintiff through positive evidence. 12.32. It is also argued by the plaintiff that DW1 merely looked after the work of human resources and legal affairs of the defendant company and he did not have any knowledge of civil work and never visited the site and that DW1 answered that without checking his company records he cannot say whether other invoices were paid by the defendant, therefore his testimony must be ignored. That reason by itself cannot be a ground to reject the entire Judgment dated 27.01.2025; CNR No. DLWT01-006004-2023; CS (COMM) No.547/2023; LGP Infrastructure LLP Vs. YFC Project Pvt.

testimony of DW1. Even if for a moment the testimony of DW1 is not considered, it is a case where it was for the plaintiff to have proved that the plaintiff performed the work and the plaintiff is entitled to the suit amount, which the plaintiff failed to prove.

12.33. A fact is said to be proved when, after considering the matters before it, the Court either believes it to exist or considers its existence so probable that a prudent man ought, under the circumstances of the particular case, to act upon the supposition that it exists. Under section 101 of the Evidence Act, whoever desires any Court to give judgment as to any legal right or liability dependent on the existence of facts which he asserts, must prove that those facts exist. When a person is bound to prove the existence of any fact, it is said that the burden of proof lies on that person. Under section 102, the burden of proof in a suit or proceeding lies on that person who would fail if no evidence at all were given on either side. Under section 103, the burden of proof as to any particular fact lies on that person who wishes the Court to believe in its existence, unless it is provided by any law that the proof of that fact shall lie on any particular person. In this case, the burden was on the plaintiff to prove it had performed the work, which the plaintiff miserably failed.

12.34. All these circumstances result in the decision of issues no.1 & 2 against the plaintiff and in favour of the defendant.

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13. Issue no.3 "If the answer to issue no. 2 is affirmative, whether the plaintiff is entitled to any interest, if yes, at what rate and for which period? OP Plaintiff."

13.1. Consequent to the decision of issue no. 2, issue no. 3 has to be decided against the plaintiff and in favour of the defendant.

14. Issue no.4 "Relief"

14.1. Given the decision of issues no. 1, 2 & 3, the suit of the plaintiff is dismissed. No order as to cost. The decree sheet be prepared accordingly. A copy of the judgment be supplied to the plaintiff as well as the defendant through electronic modes in compliance with Order 20 Rule 1(1) of CPC. The file be consigned to the record room.

Announced in the open Court
on 27th January 2025

DIG Dig
by
SIN
VINAY Date:
SINGH 2025.0
15:

(DIG VINAY SIN
District Judge (Commercial
West / Tis Hazari

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